fundstrat

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CRYPTO TA STRATEGY: Another oversold bounce but technical backdrop remains weak

- **Oversold short-term trades underway but a higher high is needed to signal an improvement.** Most crypto currencies are in the very early stages of oversold bounces following steep sell-offs through August. However, most cryptocurrencies are bouncing against an incrementally weaker technical backdrop, notably for Alts. Trading bounces are likely to be short lived with a rally above the July highs needed to signal any significant improvement in the technical backdrop.
- **BTC** is bouncing from critical support at its 2018 trading range lows between 5775-6000 and is beginning to reverse its August downtrend. A move above first resistance between 6545-6842, near the declining 15-dma, is needed to suggest recent strength is anything more than a minor bounce. Above 8642, we expect bounces to fail at next resistance in a band between 8000-8500 near BTC's 2018 downtrend, declining 200-dma and the July highs. (p.2-4)
- **ALTs** - After collapsing below important support at the June-July lows in early August, most Alts are showing very early evidence of short-term reversals with daily RSI momentum beginning to bottom at deeply oversold levels. However, while a bounce appears likely, price 'structure' remains weak for the vast majority of Alt's with lower highs and lows in place through 2018. For most Alt's, the 2018 trading range lows now serves as heavy resistance that will need to be exceeded to signal a potential improvement in trend.
- **ETH** for example, is in the early stages of an oversold trading bounce from 250 support but faces a major resistance band between 360-400 coinciding with the April low. Expect rebounds to fail below that resistance band. (p.5-6)
- **Stellar (XLR) - Early signs of a positive divergence** - XLR is noteworthy given it was one of the only larger-cap Alts not to sell-off to lower lows and was able to rally from important support at its April and July lows. In fact, while most Alts collapse over the past week, XLR rallied to its 15-dma (.243) and has now pulled back into support above .2. To signal an upside trend reversal, XLR will need to rally above the recent highs at .243. (p.7)
- **FS CryptoFX Index and A/D line update** - While an oversold trading bounce appears to be developing across the crypto universe there is no meaningful technical evidence to suggest a change in our FS CryptoFX 10 large-cap index or the FS CryptoFX 250 Small-cap index with relative performance firmly favoring large-caps over smaller-caps. Advance-Decline lines remain in downtrends and would need to rally through the July highs to signal any change in trend. (p.8-10)

CRYPTO TA STRATEGY

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BTC – Stress testing critical support band at the 2018 trading range lows

- The 2018 trading range lows (5775-6000) remain a critical support level for BTC. A break below that support band would open a risk window to next support near 5000 with longer-term support between 3500-4000.



Source: Fundstrat, Bloomberg, Optuma

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Bitcoin – BTC - Daily

- Another oversold short-term low developing at critical support band between ~5800-6000 with RSI bottoming.
- Technical backdrop remains weak with lower highs. To improve the technical backdrop BTC will need to rally through two key resistance levels starting at 6841 followed by resistance between its downtrend near 8000 and July highs near 8500.



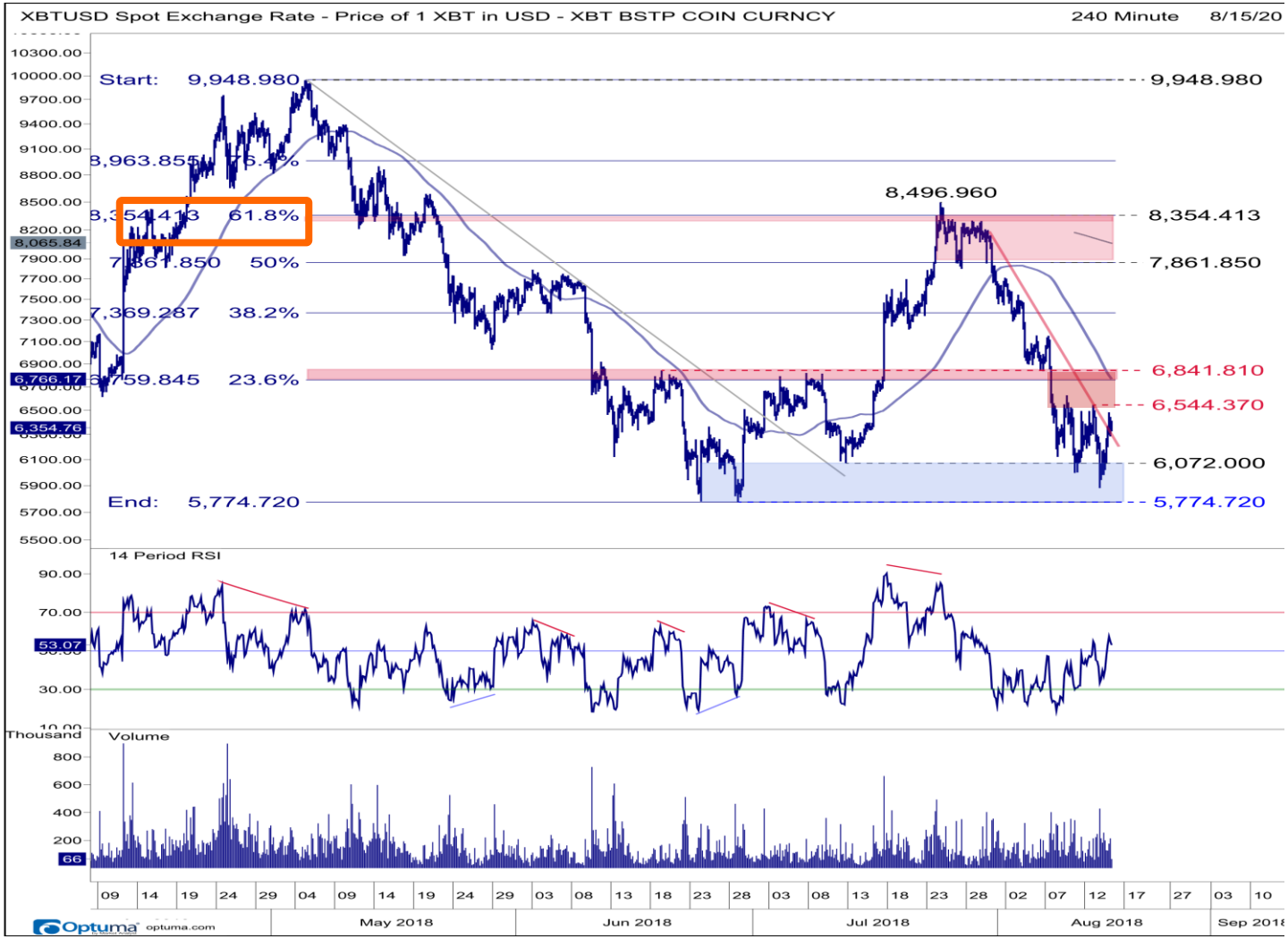
- First resistance is between 6545-8842
- Next support is near $5000 followed by 3500-4000
- Daily RSI remains suitably oversold to support a trading bounce.

Source: Fundstrat, Bloomberg, Optuma

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Bitcoin – BTC – 4 hour

- 6545-6842 remains formidable near-term trading resistance.



- 6545-6842 resistance
- A break to new lows would open BTC to a decline to next support at ~5000.
- 4 hour RSI marginally improving

Source: Fundstrat, Bloomberg, Optuma

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Ethereum – Daily

- ETH's break below the April lows may turn out to be a late stage correction/capitulation BUT at this time the technical backdrop remains weak. An oversold rebound appears likely given RSI is oversold and beginning to with heavy resistance now near ~360.



- ~360 resistance.
- Early signs of an oversold bounce from 250.

RSI is again deeply oversold

Relative performance vs BTC remains in a downtrend with only marginal signs of improving.

Source: Fundstrat, Bloomberg, Optuma

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Ethereum – ETH – 4-hour

- ETH is starting an oversold rebound following the August collapse below the June-July lows. Resistance begins at $360.



~360-400 resistance

4-hour RSI beginning to rebound but….

…Relative performance versus BTC remains weak

Source: Fundstrat, Bloomberg, Optuma

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Stellar - XLM

- Stellar bears monitoring in the coming days given it is one of the few larger-cap Alts holding above it's July lows (blue band).
- XLM has just stalled at its 15-dma and will need to rally above that resistance point (.243) to signal a trend reversal.



.351 major trading resistance.

.243 next trading resistance.
.197 key trading support.

RSI is oversold and bottoming

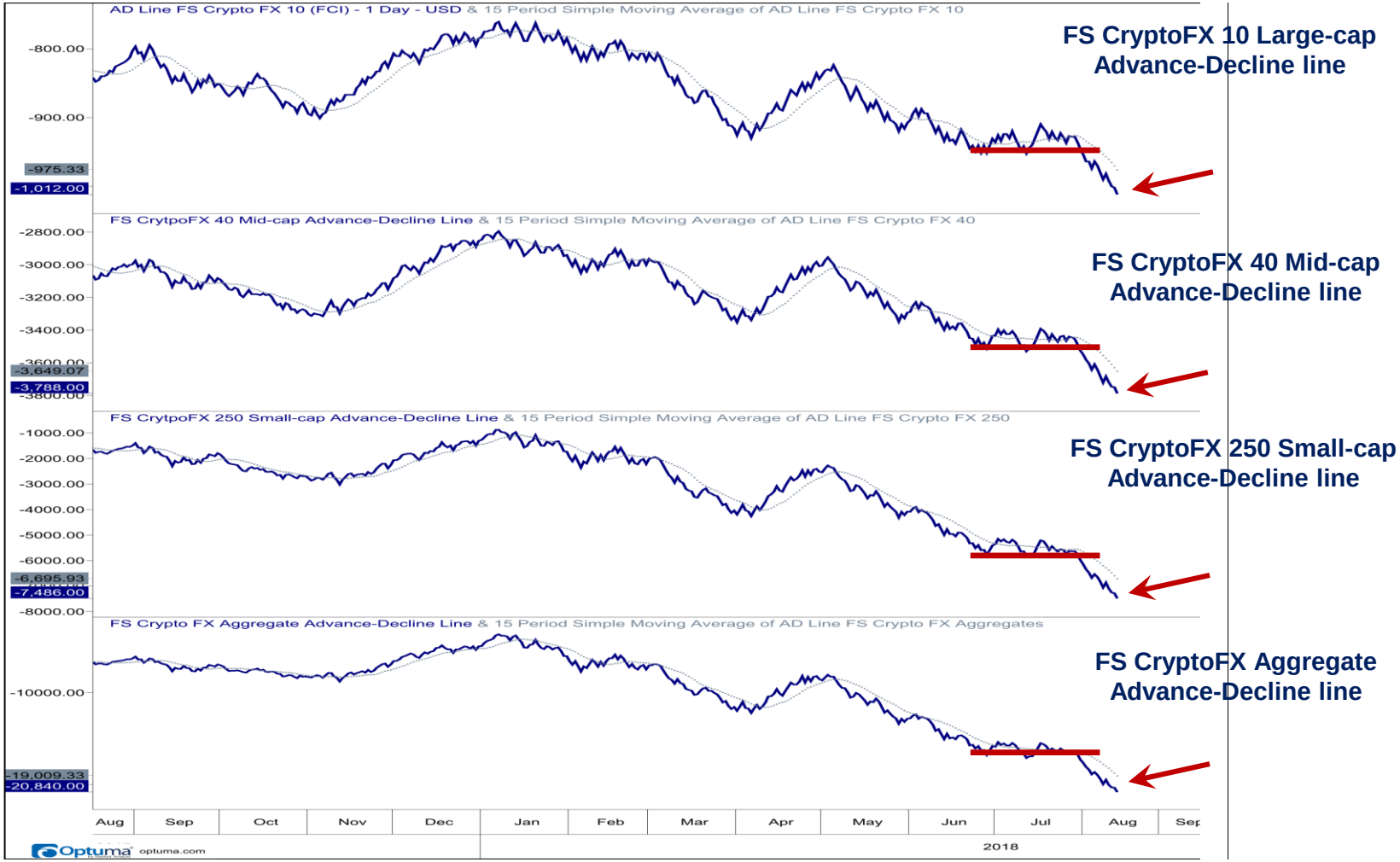
(+) XLM is showing very early signs of improving vs BTC and one of the few larger-cap ALTs to do so.

Source: Fundstrat, Bloomberg, Optuma

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FS CryptoFX Advance-Decline Lines

- Breadth remains weak probing new lows in established downtrends defined by lower highs and lower low with

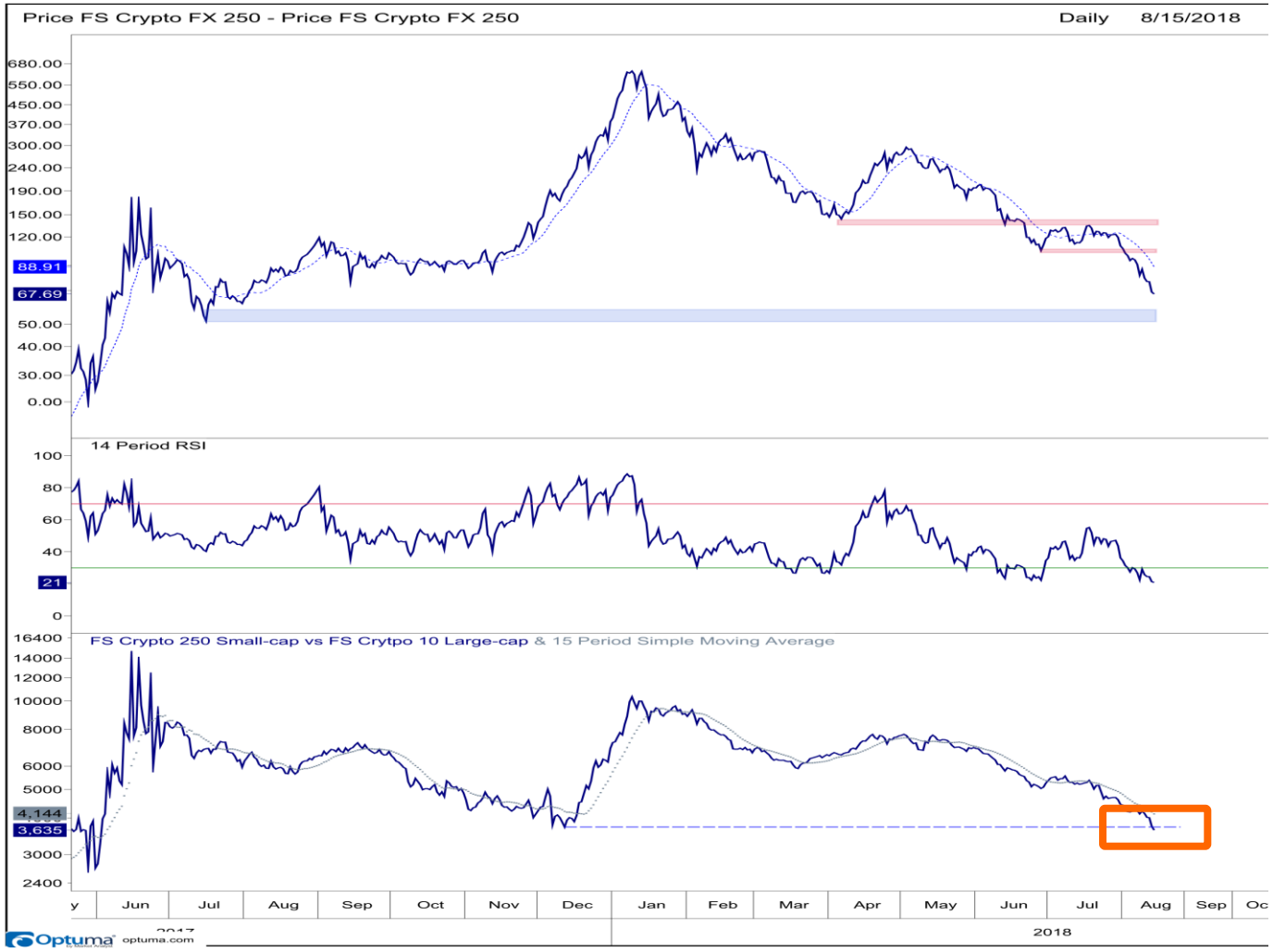


Source: Fundstrat, Bloomberg, Optuma

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FS CryptoFX 250 Small-cap Index

- Downtrend intact testing next support but with no evidence of reversing yet.



- Testing next support at the Summer 2017 lows
- Daily RSI oversold

FX 250 Small-cap Index
vs
FX 10 Large-cap Index

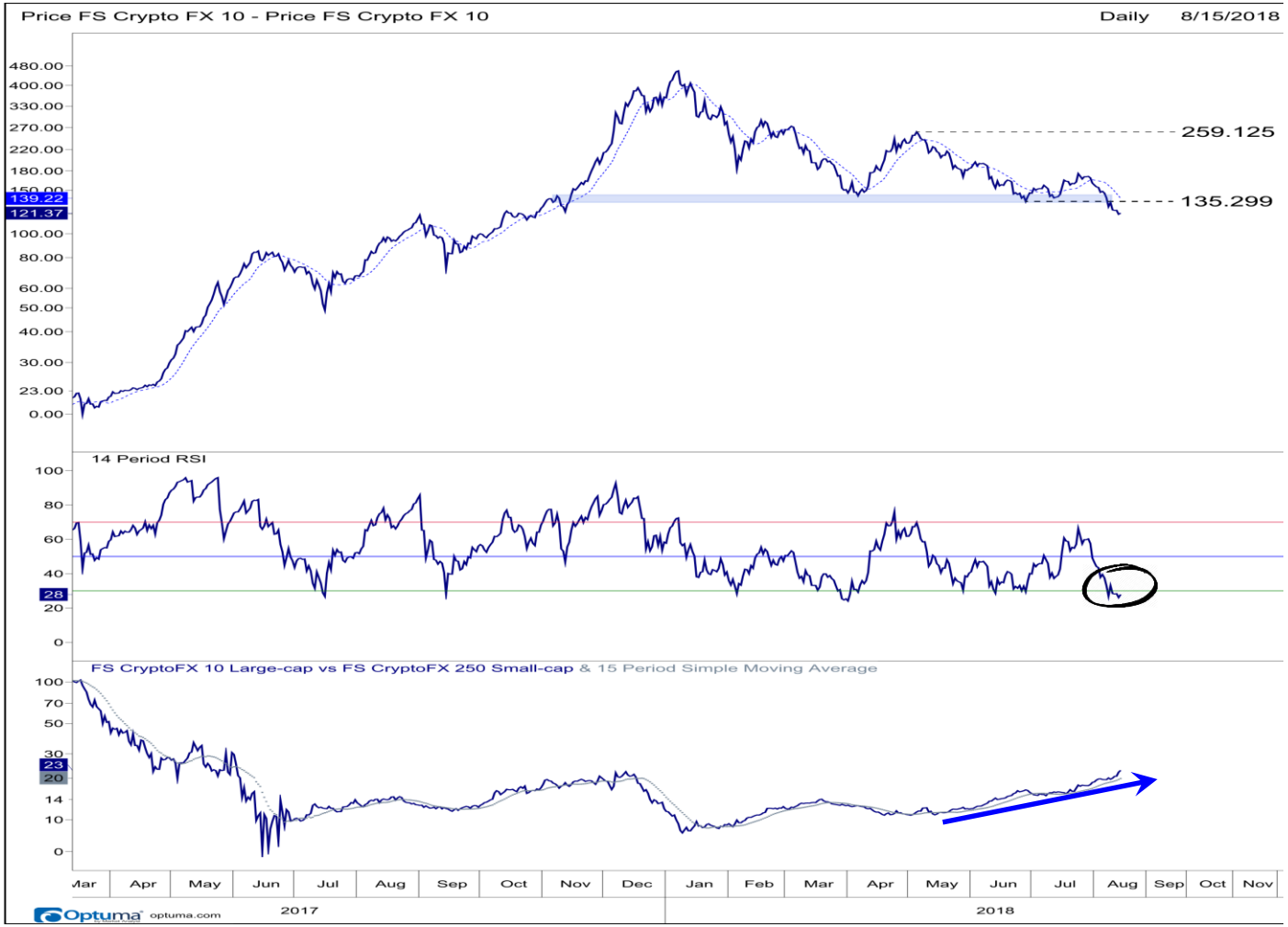
- Still no evidence of a shift to smaller cap cryptos as relative performance versus the FS CryptoFX 10 makes new lows.

Source: Fundstrat, Bloomberg, Optuma

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FS CryptoFX 10 – Large-cap Index

- Weak technical backdrop remains in place with a downtrend intact defined by lower highs and lower lows with the FX10 breaking below 2018 support band.



- Breaking major support at the 2018 lows which now serves as resistance on subsequent bounce.
- RSI is again oversold supportive of a bounce while…
- FX 10 Large-cap vs FX 250 Small-cap uptrend intact

Source: Fundstrat, Bloomberg, Optuma

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